The Hi-Tech Gears Ltd

Concall tracker · filed under Q2-2027 · 11 Nov 2026

1. Snapshot

Hi-Tech Gears makes precision gears, shafts, transmission and engine components for two-wheelers, cars, commercial vehicles and off-highway machines. It has three plants in India (Bhiwadi and Manesar) and one each in Canada and the USA, and sells to OEMs such as Hero MotoCorp, Cummins, Daimler, JCB, Bosch, Dana and Mahindra & Mahindra.

- Market cap about Rs 939 cr.
- Q2 FY27 consolidated revenue Rs 285 cr, up 18.4%; EBITDA Rs 33.5 cr, up 20.5%, margin 11.75%: a clear pickup after a weak FY26.
- Q2 FY27 PAT Rs 10.7 cr, up 78%, but PAT margin is only 3.75%: profits are recovering from a low base.
- FY26 revenue Rs 908 cr, down from Rs 1,107 cr in FY24; FY26 EBITDA margin 11.1% vs 14.7% in FY25: the last two years were a real slump.
- Net debt to equity about zero as of H1 FY27: little borrowing left.
- Revenue split FY26: India 54% / exports and North America 46%; passenger vehicles 40%, commercial and off-highway 31%, two-wheelers 29%.

2. Concall coverage

No concall transcripts were available on Screener (the company does not appear to hold earnings calls). This report is based on a global web deep-dive: the company's earnings presentations for Q4 FY26 (Jun 2026), Q1 FY27 (Aug 2026) and Q2 FY27 (10 Nov 2026) filed on BSE, and Screener financials.

Quarter / call	Date	Transcript read?
Q4 FY26 earnings presentation	Jun 2026	Read (no concall)
Q1 FY27 earnings presentation	Aug 2026	Read (no concall)
Q2 FY27 earnings presentation	10 Nov 2026	Read (no concall)

2b. Latest update highlights: Q2 FY27 earnings presentation (10 Nov 2026)

- Third straight quarter of revenue growth in India, both sequentially and year on year, driven by volumes across all customer segments.
- Profit is 'stabilizing' as the machine refurbishment and manpower programme progresses, but costs for gas, diesel, tooling and the minimum wage rise keep pressure on margins.
- North America revenue up sequentially and year on year as customer ordering returns to normal; samples being made for new business with existing customers there.
- New business LOI from a new customer, described as the market leader in premium motorcycles in India; active RFQs in two-wheelers and passenger cars.
- New business won in FY25-26 of about Rs 117 cr a year at peak, which takes about 2-3 years to ramp up after start of production.

2c. Business mix & capacity

- Domestic 54% / exports and North America 46% of FY26 revenue: nearly half the business is overseas.
- Capacity utilisation: not disclosed. Machine shop refurbishment was expected to finish around Q2 FY27; new machines being added as balancing capacity for EV and premium customers.

3. Earning trigger thesis

This is a recovery story. Sales fell for two years as North American customers paused orders and the Indian plants needed fixing. Now India volumes are growing (premium motorcycles and scooters, EV parts for Hero MotoCorp

and Dana), North America is ordering again, and new business wins should add sales over two to three years. The plant refurbishment should lift efficiency, but cost inflation is eating part of the gain.

Trigger	What management said	Evidence so far	Time horizon	Strength
Plant refurbishment and productivity	Benefits accrue with a lag; machine shop done around Q2 FY27	EBITDA margin up to 11.75% from 11.06% in Q1	FY27-28	Moderate
New business wins	About Rs 117 cr a year won in FY25-26; 2-3 year ramp	Programmes launching	FY27-29	Moderate
North America recovery	Ordering patterns returning to normal	Revenue up q-o-q and y-o-y	Now	Early
EV components	Hero MotoCorp and Dana EV business in production	In production	Ongoing	Unproven in size

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Net debt already about zero; not discussed as a driver
New business	Yes	LOI from a new customer, market leader in premium motorcycles in India (Nov 2026 presentation)
Margin up	No	'Cost inflation has led to margin pressure despite volume growth' (Nov 2026 presentation)
New management	No	No change disclosed
New capacity	No	Only balancing machines; refurbishment of existing plants
Big orders	Yes	New business won about Rs 117 cr annualised in FY25-26 (Nov 2026 presentation)
Turnaround	Yes	'Third consecutive quarter reflecting the transformation journey with revenues increasing' (Nov 2026 presentation)
Promoter buying	No	Not disclosed

Single concrete driver: Revenue is recovering after a two-year slump as Indian two-wheeler volumes grow, North America orders return and plant refurbishment lifts output, with new business wins to ramp over two to three years.

3c. Margin bridge

EBITDA margin was 11.75% in Q2 FY27 vs 11.55% a year ago, roughly flat, and well below FY25's 14.7%. Volume growth and refurbished machines help, while gas, diesel, tooling and wage costs push the other way. (one-off)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Jun 2026 presentation	Machine shop refurbishment complete around Q2 FY27	Not confirmed as complete in Nov 2026; profit 'stabilizing'	Too early
Jun 2026 presentation	Domestic demand improving	India revenue up for three straight quarters	Delivered
Jun/Aug 2026 presentations	North America to recover as uncertainty is priced in	North America up q-o-q and y-o-y	Delivered
Aug 2026 presentation	Throughput to improve as machines return	Standalone EBITDA margin 11.68% vs 10.76% in Q1	Partly

Too little public commentary to judge drift: there are no calls, only presentations, and no numerical guidance. The message has been the same for three presentations: fix the Indian plants, wait out North America, ramp new business. That's what the numbers are now starting to show.

5. Bottom line

Durable earning trigger? → MAYBE

Sales and profit are recovering and new business is won, but margins are still well below FY25, and profit is coming back from a very low base. Two more quarters are needed to know whether the turnaround sticks.

Management consistent? → MAYBE

What the presentations said about demand came true, but there are no calls, no guidance and the refurbishment completion isn't confirmed. Not enough to call it consistent.

6. Checkpoints for next quarter

- Revenue grows year on year for a fourth straight quarter
- EBITDA margin moves above the September quarter's level
- Machine shop refurbishment is reported complete

Sources: The Hi-Tech Gears earnings presentations (Jun 2026, Aug 2026, 10 Nov 2026, filed on BSE); Screener.in (HITECHGEAR) financials. This is not investment advice. Do your own due diligence.